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INDO-JAPAN CONCLAVE 2023



TECH-TONIC THE POWER OF TWO

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BRIMMING WITH POTENTIAL

If harnessed well, a strong Indo-Japan relationship can open up a host of opportunities for the two countries

UNTAPPED ADVANTAGES

Aalok Kumar: We have not utilised the potential of the India-Japan relationship. Look at the size of where the economy is going to go and look at the share of foreign direct investment that Japan has. We are just talking about $34 billion, but you make that as a percentage of the overall FDI, it's pennies, so we are nowhere close to what it can be. There is no better pair that has the complementarity of Japan and India, without a doubt.

Now, for somebody like Japan, we have to stop thinking of India as the only market. India is fertile with opportunity, absolutely, but look at some of the people who have been extremely successful here, like the Koreans and some other Japanese companies, Maruti Suzuki being one. They have been successful not just in India, but they have made India their launchpad, a second home base for themselves.

If you look at the partnership, there are four things that are required to be successful: technology, skills, an economically viable labour force and an attractive market. If you look at these four things, Japan has technology and on the other three, India scores very well. But are we really synthesising our policy and forces around trying to harness these four aspects?

THE 'EASE'–OR 'UNEASE'–OF DOING BUSINESS IN INDIA

Faisal Ashraf: One of the unique features of this very unique market, this very unique geography we call India, is that, as a market, it disproportionately rewards a good business model, and it super-quickly punishes a not-so-good business model. And this is not true of just the Japanese, but even Indian businesses. You need to fit your business model, your value proposition, your price points, your delivery speed, to India's uniqueness and be able to play at the population scale. Because given the accepted price points here, you are not going to be able to use a developed country's value proposition or story, at least for the next 20 to 25 years. And there are innumerable cases, including of Japanese companies, where if you've been able to customise your business model to this market, the rewards have been disproportionate. ■